



ONLINE CLAIM SETTLEMENT SYSTEM

Business Process Flow



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Overview

Claim Settlement System is designed to digitize the complete claim settlement process carried out by the Competent Authority under the Karnataka Protection of Interest of Depositors in Financial Establishments (KPID) Act.

The process begins only after a Financial Establishment (FE) is declared fraudulent and the responsibility of settling investor claims is handed over to the Competent Authority.

Phases

Phase 1 – Fraud Happens

A Financial Establishment (FE) collects money from the public through multiple investment schemes.

Examples include:

- IMA Jewels
- Lancer Finance
- Innovative Business Centre
- Any other entity notified under the KPID Act

Thousands of investors invest in various schemes.

A single investor may:

- Invest in multiple schemes.
- Make multiple investments under the same scheme.
- Invest in different branches.
- Invest in multiple Fraudulent Entities.

Phase 2 – Fraud is Identified

The FE fails to repay depositors.

Typical situations include:

- Maturity amount not paid
- Interest payments stopped
- Deposits not returned
- Company offices closed
- Directors become unavailable

Investors submit complaints to the Police and Government authorities.

Phase 3 – Criminal Investigation

The Police and Investigation Agencies conduct the investigation.

Activities include:

- Registering the FIR
- Collecting evidence
- Identifying Directors and Promoters
- Seizing company records
- Freezing bank accounts
- Identifying company assets
- Filing the Charge Sheet before the Court

This process is outside the scope of the proposed application. However, investigation references such as FIR Number, Court Case Number, and Government Notification are maintained for reference.

Phase 4 – Government Invokes KPID Act

The Government declares the company as a Fraudulent Entity (FE).

The Government:

- Invokes the KPID Act.
- Appoints the Competent Authority.
- Obtains Court approval to attach the FE's assets.
- Hands over the responsibility of claim settlement to the Competent Authority.

From this stage onwards, the Claim Settlement System is used.

Modules

Module 1 – Fraudulent Entity (FE) Management

Objective

Create and maintain complete details of every Fraudulent Entity.

Activities

- Register FE details.
- Capture Directors and Promoters.
- Configure Investment Schemes.
- Store Court Case information.
- Store FIR references.
- Upload Government Notifications.
- Upload Court Orders.
- Capture Company Bank Accounts.
- Capture Customer Database.
- Capture current case status.

Output

The FE becomes available for claim processing.

Module 2 – Asset Attachment & Recovery Management

Objective

Maintain all Court-attached assets and recovered funds.

Activities

- Register attached assets.
- Upload attachment orders.
- Record valuation details.
- Track auction process.
- Record auction proceeds.
- Track recovered funds.
- Maintain available settlement fund.

Output

Recovered amount available for settlement.

Module 3 – Depositor Master

Objective

Create a unique profile for every depositor.

Activities

Capture:

- Personal Information
- Aadhaar
- PAN
- Contact Details
- Bank Accounts
- Nominee Details
- Legal Heir Details

Output

A single depositor profile is maintained across all Fraudulent Entities.

Module 4 – Investment Portfolio Management (nomenclature later suggested)

Objective

Maintain every investment made by a depositor.

Activities

Capture:

- Fraudulent Entity
- Investment Scheme
- Customer ID
- Bond / MOU Number
- Deposit Receipt
- Investment Date
- Maturity Date
- Deposit Amount
- Interest Promised
- Amount Already Received
- Outstanding Balance

Output

Complete investment history available.

Module 5 – Claim Notification

Objective

Invite Claims from investors to submit claims.

Activities

Create a claim notification containing:

- Concerned FE Name
- Details of the Schemes
- Claim Submission Period From date and To Date
- Required Documents
- Instructions

Publish notification through the portal.

Output

The claim window becomes active.

Module 6 – Online Claim Submission (Offline) to be discussed

Objective

Enable investors to submit claims online.

Activities

Investor logs into the portal.

Investor selects:

- Fraudulent Entity
- Investment Scheme
- Investment Record

Investor confirms:

- Personal Details
- Investment Details
- Refund Bank Account

Investor uploads:

- Identity Proof
- Investment Proof
- Bank Documents

- Nominee / Legal Heir Documents (if applicable)
- Affidavit
- Statement of Investment

System validates mandatory information before submission.

Output

Claim submitted

Module 7 – Claim Verification & Evaluation (offline they do 43 column excel data with docs rcvd)

Objective

Verify the submitted claim and determine eligibility.

Activities

Officer verifies:

- Identity
- Investment Details
- Scheme
- Customer ID
- Deposit Records
- Uploaded Documents
- Bank Details
- Previous Returns Received
- Existing Claims
- Eligibility

If required, the officer requests additional documents through the portal. (notice should go to the Claimant regarding requirement of document)

The claimant provides additional documents.

The officer continues the Assessment

After this assessment final report of every eligible claimant should be available. (eligible, not eligible, with categories of reasons)

Output

Verified claim ready for approval.

Module 8 – Claim Approval

Objective

Certification of Claim Applications/Process

Activities

Competent Authority reviews the verification report.

Decision may be:

- Approved
- Pending Clarification

Remarks are recorded.

Output

Claim decision finalized. (

Module 9 – Recovery & Settlement Management

Objective

Calculate settlement based on recovered funds. (formula will apply here)

Activities

Record:

- Total Recovered Amount
- Total Approved Liability
- Available Settlement Fund

System calculates:

- Eligible Amount
- Previous Returns Received
- Previous Settlements
- Net Payable Amount
- Calculation of equitable distribution

Output

Settlement amount finalised.

Module 10 – Payment

Objective

Release payment and close claim.

Activities

Generate payment batches.

Transfer payment through:

- NEFT
- RTGS

Record:

- Payment Reference
- Transaction Number
- Payment Status

Update:

- Claim Status
- Investment Balance
- Payment History

Output

Claim successfully settled and closed.